Nov 2026 attempt

Ind AS 8 — Policies, Estimates & Errors

The whole standard is one question: **policy, estimate or error?** Get that right and the treatment follows.

① The three-way split

	Change in POLICY	Change in ESTIMATE	Prior-period ERROR
What	*Principles, bases, conventions, rules*	*Monetary amount **subject to measurement uncertainty** (2023)*	*Omission / misstatement from not using reliable info that was available*
How	**Retrospective**	**Prospective**	**Retrospective restatement**
Current P&L hit?	*No → opening equity*	**Yes**	*No → opening equity*
3rd BS?	*If material to opening BS*	*Never*	*If material to opening BS*

Can't tell policy from estimate? → treat as **ESTIMATE** *(para 35)*

② When can a policy change? 14 · 16

Only if:

- → ***required*** *by an Ind AS, or*
- → *gives* ***reliable & more relevant*** *info*

NOT a policy change:

- → *transactions* ***different in substance***
- → *transactions* ***new*** *or previously* ***immaterial***

③ Classify it — exam favourites

Change	Answer
FIFO → weighted average (Ind AS 2)	**Policy — retrospective**
SLM → WDV depreciation	**Estimate — prospective** Ind AS 16 · 61
Useful life / residual value / ECL / warranty rate	**Estimate — prospective**
*Cost model → **revaluation** (Ind AS 16 / 38)*	*Policy, but **NOT retrospective** — treat as revaluation* 17
*Revaluation → **back to cost***	**Voluntary policy — retrospective (para 17 is one-way)**
Investment property cost → FV	**Not allowed — Ind AS 40 = cost model only**
Measurement basis change (cost → FV)	**Policy, not estimate** 35
*Valuation **technique / input** change, same basis*	**Estimate** 34A
Early adoption of a new Ind AS	*Not voluntary — follow its transition rules*
Policy change on first-time adoption	*Ind AS 101 governs, not Ind AS 8*

4 No Ind AS applies? 10 - 12

*Use judgement → info that is **relevant & reliable**. Refer in this order:*

1. ***Ind AS** dealing with **similar** issues*
2. ***Conceptual Framework** definitions & recognition / measurement criteria*
3. *May consider: **latest IASB pronouncements** (India puts IASB first) → other standard-setters with similar framework → literature & industry practice — **if not conflicting***

5 Estimates — 2023 amendment 32 - 38

→ *Estimate = **monetary amount subject to measurement uncertainty**.*

→ *Change in **input** or **measurement technique** = change in estimate, **unless** it corrects an error 34A*

→ *Recognise in P&L of period of change (and future periods if both affected) 36*

⚠ TRAP

***Hindsight ≠ error** 48. Provision ₹2 cr at 31 Mar 2024 on best evidence; case settles ₹5 cr in Nov 2024 → extra ₹3 cr in **FY 24-25 P&L**. No restatement.*

6 Errors — correction mechanics 41 - 49

→ *Correct in **first FS approved after discovery** 42:*

- *restate **comparatives** for the period(s) the error occurred, or*
- *if before earliest period presented → restate **opening balances of earliest period***

→ ***Impracticable** → restate from earliest practicable period 43 - 45*

→ *Error in **current year** found before approval → just correct current figures (not a prior-period error)*

⚠ TRAP

***Intentional immaterial errors** to achieve a particular presentation → FS **do not comply** 41. Materiality doesn't save intent. (Audit: SA 450 — qualitatively material; SA 240.)*

Disclosure of error 49

- *nature of the error*
- *correction **per line item** and **basic & diluted EPS**, each prior period presented*
- *correction at **start of earliest period***
- *if impracticable — why; **no need to repeat** in later years*

⑦ Same error, found at different times

Error: FY 23-24 revenue overstated ₹6 cr. Current FS = FY 24-25 (comparative FY 23-24).

Discovered	Treatment
During FY 24-25	*Restate FY 23-24 comparatives in FY 24-25 FS; 3rd BS if material to 1 Apr 2023*
*After 31 Mar 2025, **before** approval*	***Ind AS 10 adjusting** (9(e)) + Ind AS 8 restatement in FY 24-25 FS*
***After** FY 24-25 approval*	*Correct in **FY 25-26** FS — restate FY 24-25 comparatives*
*Error arose in **FY 21-22**, still in balances*	*Restate **opening balances at 1 Apr 2023** + 3rd BS if material*

⑧ Restatement ≠ Revision ≠ Reopening

Route	Who / how	Key points
Ind AS 8 restatement	*Management, in current FS*	*Comparatives / opening balances restated. **Old FS NOT reissued.***
Sec 131 revision	***Voluntary** — company applies to **Tribunal***	*FS of **any of 3 preceding FYs** not complying with Sec 129 / 133; **once a year**; reasons in Board's report*
Sec 130 reopening	***Forced** — Court / Tribunal order on application of CG, tax authority, SEBI, other regulator*	*Accounts **fraudulent** or affairs **mismanaged**; generally up to **8 preceding FYs***

⚠ **TRAP**

*From FY 24-25, the 3 preceding FYs = **23-24, 22-23 and 21-22** → an FY 21-22 error is **inside** the Sec 131 window. But Ind AS 8 **never requires** revision — Sec 131 is the company's **choice**.*

Policy = Past restated
Estimate = Ever-after
Error = Erase & rewrite comparatives

*Ind AS 8 fixes the **comparatives**.*
*Sec 131 fixes the **old FS** (voluntary).*
*Sec 130 is **forced**.*

9 Auditor's response

Situation	Where / what
Prior-year error; last year **unmodified**; comparatives **NOT restated**	**Qualified / Adverse re corresponding figures** SA 710 · 12
Same, **properly restated** & disclosed	**Unmodified; EOM may refer to disclosure** SA 710 · A8
Last year's opinion **modified**, matter unresolved	**Modify current opinion too** SA 710 · 11
New auditor finds error in opening balances	**SA 510** — opening balances & current-period effect
Error found after prior-year FS issued	**SA 560 · 14–17** — discuss; new report with EOM / OM if amended
Uncorrected prior-year misstatements	**SA 450** — effect on current period; intentional = qualitatively material
Error is **fraud** by officers / employees	**SA 240**; **Sec 143(12)**: **≥ ₹1 cr → Central Government**; below → Audit Committee / Board; CARO 3(xi)
Early adoption of new standard, pervasive effect	**SA 706** — EOM may be included

10 Exam-ready sentences

✍ **Write in exam**

Error: "As per para 42 of Ind AS 8, a material prior period error shall be corrected retrospectively in the first set of financial statements approved for issue after its discovery, by restating the comparative amounts for the prior period presented in which the error occurred, or, if it occurred before the earliest period presented, the opening balances of assets, liabilities and equity for the earliest prior period presented."

✍ **Write in exam**

Estimate: "The change in depreciation method is a change in accounting estimate (Ind AS 16 para 61) and shall be applied prospectively by including its effect in profit or loss of the period of change and future periods (Ind AS 8 para 36)."

✍ **Write in exam**

AAA: "Since the corresponding figures have not been restated for a material misstatement in the prior period financial statements on which an unmodified opinion was issued, the auditor shall express a qualified or adverse opinion, modified with respect to the corresponding figures (SA 710 para 12)."